Cost Structure: What It Costs to Run KOSIQ

Every dollar explained — from infrastructure to customer acquisition

A. Cost Per Member (Patient)

Cost Component	Cost/Member/Mo	What This Covers
Cloud Hosting (AWS/Vercel)	$0.008/mo	Database storage, compute, CDN for one patient record
AI Processing (Claude API)	$0.022/mo	Risk scoring, chart summarization, clinical alerts — avg 3 AI calls/patient/mo
Data Pipeline & ETL	$0.005/mo	Ingesting claims feeds, lab results, ADT notifications per patient
Security & Compliance (HIPAA)	$0.003/mo	Encryption, audit logs, access controls, SOC2 infrastructure
Support & Maintenance	$0.007/mo	Pro-rated customer support, bug fixes, uptime monitoring
Total Cost Per Member	**$0.045/mo ($0.54/yr)**	

Revenue per member: $1.25/mo | Cost per member: $0.045/mo | **Gross margin per member: 96.4%**

Year 1 Cash Flow Summary

Total Revenue (Year 1)	$1.74M
Total Operating Costs	-$618K
Customer Acquisition	-$54K
Net Cash Flow	**+$1.07M**
Cash on Hand (if $500K raise)	**$1.57M**

B. Monthly Operating Costs (Year 1 — Pre-Scale)

Category	Monthly Cost	Details
Infrastructure & Hosting	$1,800/mo	AWS (EC2, RDS, S3), Vercel, monitoring tools, SSL certs
AI/ML API Costs	$2,400/mo	Anthropic Claude for risk scoring, chart summarization, clinical AI — scales with patients
Third-Party Services	$800/mo	Auth0, Stripe, email (Klaviyo), error tracking (Sentry), analytics
Engineering Salaries	$35,000/mo	2 full-stack engineers at $180K/yr avg + CPO (David) at $180K/yr
Sales & BD	$8,000/mo	1 sales rep ($96K/yr) focused on South FL managed care groups
Legal & Compliance	$2,000/mo	HIPAA compliance officer (fractional), legal counsel retainer
Office & Misc	$1,500/mo	Co-working space, travel to client sites, software subscriptions
Total Monthly Burn	**$51,500/mo ($618K/yr)**	

Breakeven: ~4,300 members at $1.25 PMPM ($5,375/mo revenue covers $51.5K burn !' need 9.6 clients avg 450 members or 1 client with 4,300 members)

Customer Acquisition: The $18K Explained

CAC is front-loaded and drops dramatically at scale. Here is exactly where every dollar goes.

Breaking Down the $18K CAC (Per Organization)

Component	Cost	Why This Costs What It Does
Sales Rep Time (3-month cycle)	$6,200	Healthcare sales cycles avg 90 days. Includes demos, security review, legal/procurement. 1 rep closes ~5 deals/yr.
Integration & Onboarding	$4,800	Data migration from existing EMR/analytics. Claims feed setup. SFTP configuration. Staff training (2-3 sessions).
Technical Setup	$2,500	Custom dashboards, role-based access, org-specific quality measures, payer contract mapping.
Marketing & Lead Gen	$2,000	Conference attendance (HIMSS, AHIP), content marketing, LinkedIn outreach. Pro-rated per closed deal.
Legal & Contracting	$1,500	BAA execution, MSA negotiation, security questionnaire completion. Healthcare procurement is complex.
Travel & Client Visits	$1,000	On-site visits during sales cycle and implementation. South FL focused = low travel costs.
Total CAC Per Organization	**$18,000**	

CAC Per Member Depends on Client Size

Client Type	Math	CAC/Member	Note
Small practice (5,000 members)	$18,000 / 5,000	**$3.60**	Higher CAC per member but still profitable at $1.25+ PMPM
Mid-size group (20,000 members)	$18,000 / 20,000	**$0.90**	Sweet spot — high volume, same sales effort
Large MCO (60,000+ members)	$18,000 / 60,000	**$0.30**	Enterprise deal — same CAC, massive member base

How CAC Drops Over Time

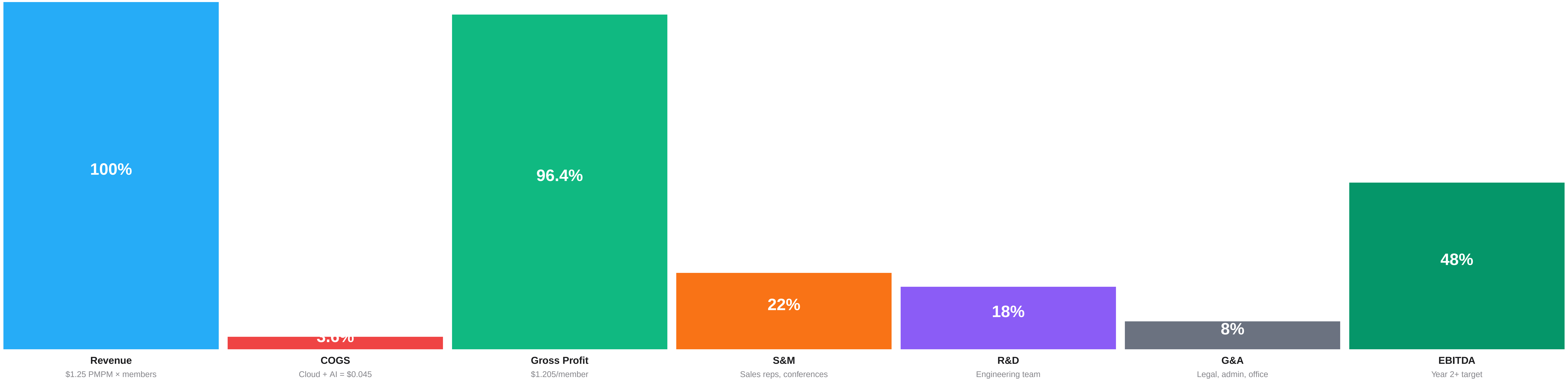
Year	CAC/Org	Clients	Why It Drops
Year 1	$18,000	3 clients	Cold outreach, building brand, first references
Year 2	$14,000	8 clients	Referrals start. Case studies from Year 1 clients reduce sales cycle.
Year 3	$10,000	16 clients	Inbound leads from conference presence. Brand recognition in SE FL market.
Year 4	$7,000	28 clients	Network effects. Clients refer peers. Marketing spend per deal drops 60%.
Year 5	$5,000	42 clients	Category leader in region. Most deals inbound. Sales cycle drops to 45 days.

Unit Economics & Margin Structure

Per-member profitability and how margins expand at scale

Revenue/Member/Mo **$1.25** Blended avg across tiers	Cost/Member/Mo **$0.045** Infrastructure + AI + support	Gross Profit/Member **$1.205** 96.4% gross margin per member	LTV (36 months) **$43.38** $1.205 × 36 months
CAC/Member (avg) **$1.20** $18K org / 15K avg members	LTV:CAC **36:1** Exceptional for enterprise SaaS	Payback Period **1 month** First PMPM payment > CAC/member	Net Revenue Retention **115%+** Members grow within existing clients

Margin Waterfall — From Revenue to EBITDA



5-Year Financial Projections

ASSUMPTIONS: Avg client 15-30K members | PMPM declines at scale ($1.25 to $0.75) | 3 clients Y1, 42 Y5 | 36-mo contracts | 12% blended COGS | Zero churn | Integration fee per new client

	Year 1	Year 2	Year 3	Year 4	Year 5
Members Under Management	8,000	28,000	65,000	120,000	200,000
Client Organizations	3	8	16	28	42
Avg PMPM Rate	$1.25	$1.15	$1.00	$0.85	$0.75
PMPM Revenue (annual)	$120K	$3.86M	$7.80M	$12.2M	$18.0M
Integration Fees	$45K	$80K	$160K	$240K	$280K
Total Revenue	**$1.74M**	**$7.08M**	**$18.6M**	**$38.4M**	**$62.0M**
Infrastructure (Cloud+AI)	$43K	$151K	$351K	$648K	$1.08M
Data & Third-Party	$21K	$74K	$172K	$317K	$528K
Total COGS	$209K	$850K	$2.23M	$4.61M	$7.44M
Gross Profit	**$1.53M**	**$6.23M**	**$16.4M**	**$33.8M**	**$54.6M**
Gross Margin	88%	88%	88%	88%	88%
Engineering (R&D)	$600K	$1.1M	$2.5M	$4.8M	$7.2M
Sales & Marketing	$480K	$1.2M	$3.0M	$5.8M	$8.5M
G&A (Legal, Admin, CPO)	$300K	$500K	$1.0M	$1.8M	$2.8M
Total OpEx	$1.38M	$2.80M	$6.5M	$12.4M	$18.5M
EBITDA	**$150K**	**$3.43M**	**$9.9M**	**$21.4M**	**$36.1M**
EBITDA Margin	**9%**	**48%**	**53%**	**56%**	**58%**
Cumulative Free Cash Flow	**$150K**	**$3.58M**	**$13.5M**	**$34.9M**	**$71.0M**

Month 8
Cash-flow positive

$62M
Year 5 ARR

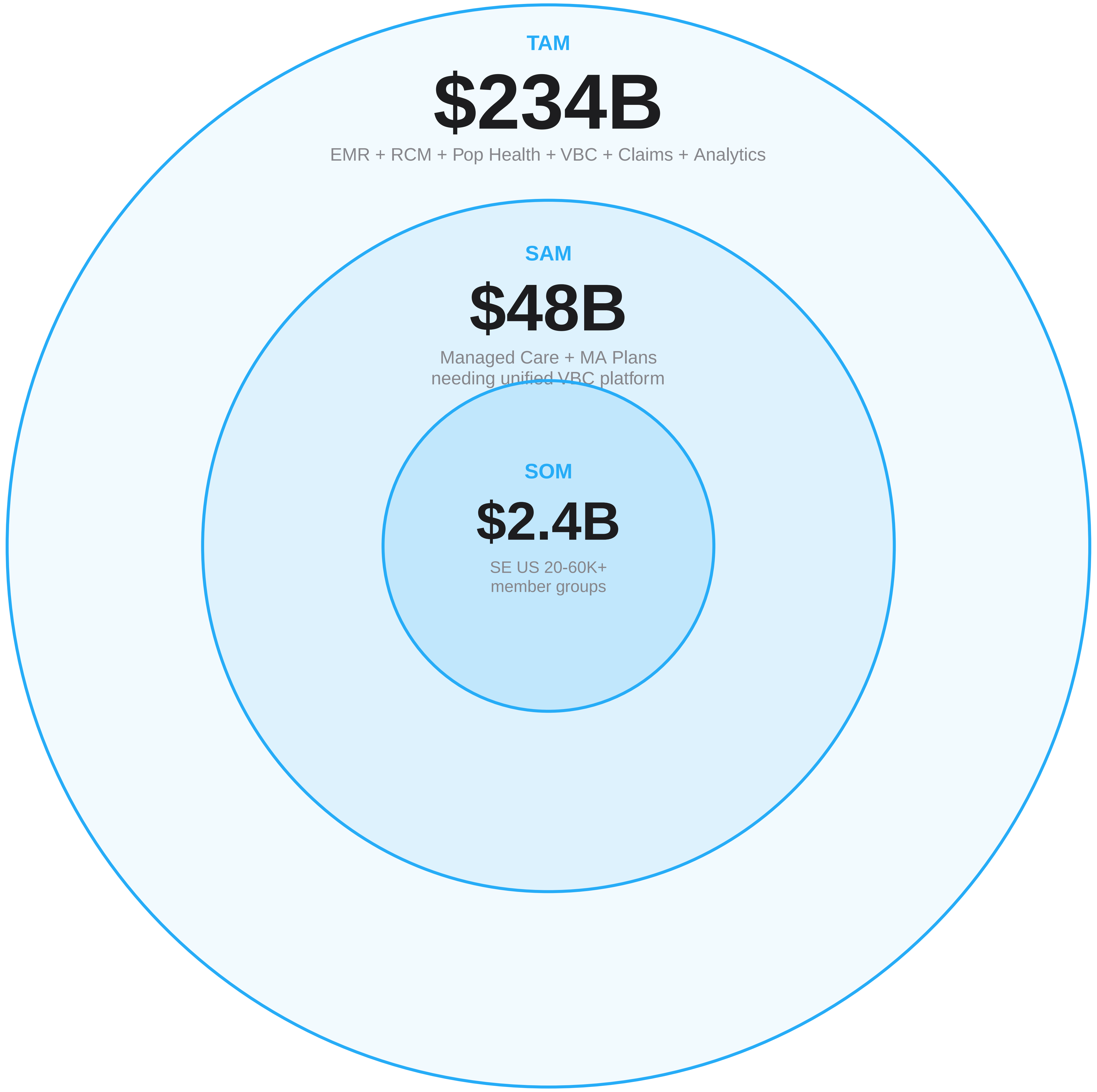
58%
EBITDA margin at scale

$71M
Cumulative FCF by Y5

200K
Lives managed

Total Addressable Market

KOSIQ operates across multiple $30B+ healthcare markets simultaneously



Markets KOSIQ Replaces

Market	Size	CAGR	Source
EMR/EHR Systems	$36.2B	6.3%	*Straits Research*
Revenue Cycle Mgmt	$73.0B	12.4%	*MarketsAndMarkets*
Population Health	$35.8B	17.2%	*Grand View Research*
Healthcare Analytics	$21.4B	23.5%	*GlobeNewsWire*
Claims Processing	$18.2B	8.1%	*Fortune Business*
VBC Enablement	$15.4B	14.8%	*KLAS Research*
Risk Adjustment/HCC	$8.6B	19.3%	*Chilmark Research*
Quality/HEDIS Tracking	$5.2B	11.2%	*Gartner*
Combined	**$213.8B**		

WHY $234B:
eClinicalWorks generates $700M+/yr. Epic is worth $50B+. Optum/UnitedHealth: $100B+ revenue. KOSIQ replaces 8 vendor categories with one platform — the TAM is every dollar organizations spend on fragmented healthcare operations software.

5.2M Medicare Advantage enrollees in Florida alone — the largest MA market in the US. KOSIQ starts here.

The Ask: $4,000,000

24-month runway. Full team. Never strapped for cash.

Team & Annual Salaries

Role	Annual Salary	Start	24-Mo Cost	Why This Person
David Suarez — CPO	$180,000	Day 1	$360,000	Product vision, architecture, investor/client relationships
VP of Engineering	$200,000	Day 1	$400,000	Must have built HIPAA platforms. Owns tech team + infra.
Senior Backend Engineer	$170,000	Day 1	$340,000	Data pipelines, FHIR/HL7, payer API integrations
Full-Stack Engineer	$150,000	Day 1	$300,000	Product features, client dashboards, analytics UI
AI/ML Engineer	$160,000	Day 1	$320,000	Proprietary risk models, NLP, predictive analytics
DevOps / Security Engineer	$140,000	Mo 3	$280,000	HIPAA infrastructure, CI/CD, pen testing, uptime
VP of Sales — Healthcare	$200,000	Day 1	$400,000	Existing MCO relationships in FL. Base + commission.
Account Executive	$120,000	Mo 6	$200,000	Second seller. Enterprise healthcare sales experience.
SDR / Lead Gen	$60,000	Mo 3	$105,000	Outbound prospecting, demo scheduling, CRM
Dr. JD Suarez — CMO	Equity Only	Day 1	$0	Clinical credibility, payer relationships. Saves $400K+.
Total People Cost (24 months)			$2,705,000	

Use of Funds — Full Breakdown

Category	Amount	% of Raise	Details
People — Engineering (6 roles)	$2,000,000	50%	VP Eng + 4 engineers + CPO. Salaries above. Includes benefits/taxes (~15% loaded).
People — Sales & BD (3 roles)	$705,000	18%	VP Sales + AE + SDR. Includes commission structure for VP Sales.
Marketing & Conferences	$120,000	3%	HIMSS, AHIP, FL managed care events, LinkedIn, case studies, content.
Cloud Infrastructure (AWS HIPAA)	$120,000	3%	$5K/mo avg. EC2, RDS, S3, CloudWatch, WAF. Auto-scales with members.
AI API Costs (AWS Bedrock)	$96,000	2.5%	$4K/mo avg. Claude via Bedrock (BAA-covered). Risk scoring, NLP, chat.
Third-Party SaaS	$36,000	1%	Auth0, Sentry, Klaviyo, Stripe, analytics. $1.5K/mo.
SOC2 Type II + HITRUST	$115,000	3%	Required for enterprise healthcare sales. SOC2 ($50K) + HITRUST ($65K).
Legal & Compliance	$80,000	2%	BAA execution, MSA templates, state regulations, outside healthcare counsel.
D&O / E&O Insurance	$33,000	1%	Required by enterprise clients and investor protection.
Clinical Advisory & Validation	$80,000	2%	Advisory board ($40K), outcomes study ($30K), conference speaking ($10K).
Working Capital Reserve	$415,000	10%	3-month runway buffer. Healthcare sales cycles take 6-9 months.
Contingency	$200,000	5%	Regulatory changes, unexpected costs, opportunistic hires or partnerships.
TOTAL	$4,000,000	**100%**	

24-Month Outcomes

20+	Client organizations
80,000+	Members on platform
$22M+	ARR run rate
Month 10	Cash-flow positive
$15M+	Cumulative FCF
SOC2 + HITRUST	Enterprise certified
9 people	Full-time team
Never	Need to raise again

Proposed Terms

Raise	$4,000,000
Equity	15-20%
Pre-Money Valuation	$20-26.5M
Structure	Priced Seed or SAFE
Board	Observer seat
Pro-Rata Rights	Yes

Why $4M?

- Healthcare sales cycles: 6-9 months from demo to signed contract
- Credibility hires (VP Eng, VP Sales) cost $200K+ and are non-negotiable
- SOC2 + HITRUST must be done BEFORE enterprise clients will sign
- Under-funded = desperate = bad deal terms with clients
- $4M = 24 months with zero revenue dependency
- Cash-flow positive by month 10 means we never need Series A
- If we do raise Series A, we do it from strength at $50-80M valuation
- Dr. JD on equity saves $400K+ in CMO salary
- Working capital buffer means one slow quarter does not kill us